No. 95-1764

(2)

Supreme Court, U.S.
FILED
SEP 16 1996
CLERK

In The

Supreme Court of the United States

October Term, 1995

SARATOGA FISHING CO.,

Petitioner,

vs.

J.M. MARTINAC & CO.;
MARCO SEATTLE, INC.,

Respondents.

On Petition for a Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

RESPONDENTS' BRIEF IN OPPOSITION

DUNCAN KOLER
KOLER & PROWS, P.C.
Attorneys for Respondent
J.M. Martinac & Co.
3033 Fifth Avenue
Suite 300
San Diego, California 92103
(619) 683-2944

DANIEL B. MacLEOD
Attorney for Respondent
Marco Seattle Inc.
1202 Kettner Boulevard
Suite 4400
San Diego, California 92101
(619) 234-7000

8757
Lutz Appellate Services, inc.
(800) 3 APPEAL • (800) 5 APPEAL • (800) BRIEF 21

16 pp

THE PARTIES

J. M. Martinac & Co. ("Martinac") is a privately held Washington corporation.

Marco Seattle, Inc. ("Marco") is a Washington corporation wholly owned by Marine Construction & Design Co., Inc., a privately held Washington corporation.

Saratoga Fishing Company, Inc. ("Saratoga"), was a privately held California corporation which has since formally dissolved, but retains the legal authority to litigate this matter under California Corporations Code § 2010.

TABLE OF CONTENTS

	Page
The Parties	i
Table of Contents	ii
Table of Citations	iii
Opinions Below	1
Statement of Jurisdiction	2
Statutory Provisions	2
Reason for Submission of Response	2
Statement of the Case	2
Discussion	5
A. There Is An Inter-Circuit Conflict Which Requires Resolution By This Court.	5
B. There Is Significant Confusion In The Scope Of Damages Available Under The Maritime Law Of Strict Products Liability To The Owner Of A Product Which Destroys Itself.	7
Conclusion	10

Page

TABLE OF CITATIONS

Cases Cited:

Barker v. Lull Engineering Co., 20 Cal. 3d 423 (1978)	9
East River SS Corp. v. TransAmerica Delavel, 476 U.S. 858 (1986)	5, 8, 9
Employers' Ins. of Wassau v. Suwannee River Spa Lines, Inc., 866 F.2d 752 (5th Cir. 1989)	6
Kaiser Steel Corp. v. Westington Electric Corp., 55 Cal. App. 2d 737 (1976)	9
Louis Dreyfus Corp. v. 27,956 Long Tons of Corn, 830 F.3d 1321 (5th Cir. 1987)	6
McKee v. Brunswick Corp., 354 F.2d 577 (7th Cir. 1965)	6
Miller v. American President Lines, Ltd., 989 F.2d 1450 (6th Cir. 1993)	6
Nicor Supply Ships Associates v. General Motors, 876 F.2d 501 (5th Cir. 1989)	5, 6
Palvides v. Galvaston Yacht Basin, 726 F.2d 330 (5th Cir. 1984)	6
Pan Alaska Fisheries, Inc., v. Marine Const. & Design Co., 565 F.2d 1129 (9th Cir. 1977)	8

Contents

	Page
Vickers v. Chiles Drilling Co., 822 F.2d 535 (5th Cir. 1987)	6

Statutes Cited:

28 U.S.C. § 1254(1)	2
28 U.S.C. § 1291	2
28 U.S.C. § 1333	2
California Corporations Code § 2010	i

Other Authority Cited:

Restatement (Second) of Torts § 402A	6, 8, 9, 10

OPINIONS BELOW

Trial of this matter was held in the Southern District of California before James M. Fitzgerald, Senior United States District Judge, sitting without a jury. The District Court entered written "Findings on Liability" (Petitioner's Appendix E) and later delivered oral "Findings on Damages" (Petitioner's Appendix F). All parties appealed to the Court of Appeals for the Ninth Circuit.

This matter was argued and submitted at Pasadena, California, on February 8, 1995, before a Ninth Circuit panel composed of Robert R. Beezer and John T. Noonan, Jr., Circuit Judges, and David Alan Ezra, District Judge, sitting by designation.

Upon receipt of the initial decision by the Court of Appeals dated April 26, 1995, affirming the decision of the trial court J. M. Martinac & Co. ("Martinac") and Marco Seattle, Inc., ("Marco") filed a petition for rehearing with suggestion for rehearing *en banc*. The petition for rehearing was granted and the suggestion for rehearing *en banc* was rejected. A first amended decision by the Court of Appeals was filed on August 4, 1995, affirming in part, reversing in part, and remanding the matter to the trial court.

Thereupon Saratoga Fishing Company, ("Saratoga") filed a petition for rehearing and suggestion for rehearing *en banc*. On October 26, 1995, the first amended decision was withdrawn and a second amended decision was filed adding a separate concurring and dissenting opinion by Circuit Judge Noonan. (Petitioner's Appendix B). A formal order denying the petition for rehearing and suggestion for rehearing *en banc* was entered on November 13, 1995.

Saratoga then filed a second petition for rehearing and suggestion for rehearing *en banc* on November 16, 1995. That petition was denied by the Court of Appeals in an Order filed January 30, 1996. (Petitioner's Appendix A).

STATEMENT OF JURISDICTION

All of the parties below, by petition or cross–petition, seek review of the judgment of the Court of Appeals for the Ninth Circuit dated and entered October 26, 1995. A petition for rehearing filed by Saratoga was denied by an order filed January 30, 1996. Cross–petitions for certiorari were filed timely. This Court's jurisdiction is pursuant to 28 U.S.C. § 1254(1). The district court had jurisdiction of this admiralty case under 28 U.S.C. §§ 1333 and 1291.

STATUTORY PROVISIONS

The case involves the general maritime law of the United States. No statutory provisions are directly affected by the issues raised in the cross–petitions.

REASON FOR SUBMISSION OF RESPONSE

The Respondents filed a petition for certiorari (*No. 96-1763*) and the present petitioner filed the present cross–petition for certiorari. By letter dated August 16, 1996, the Clerk requested the respondents file a response to the cross–petition by September 16, 1996.

STATEMENT OF THE CASE

This is a product liability action brought by a commercial fishing enterprise to recover its commercial losses following a shipboard fire and the sinking of a 14 year–old 200 foot steel tuna

seiner custom–built for a professional user who provided significant design input. The product performed safely until its professional user radically changed the product's design. Even then the product did not fail until the user operated the product with a failed component known to need replacement and with knowledge of the likelihood of imminent failure with catastrophic results. When the product failed – predictably – the only injuries were consequential commercial losses.

Martinac built the M/V SARATOGA in 1971 to order for Mr. Joseph Madruga. The M/V SARATOGA was the third in a series of seven multi–million dollar vessels built for Mr. Madruga by Martinac. Mr. Madruga negotiated with Martinac regarding specifications for the ship, selection of the ship's machinery, warranties, and the risk of loss (Petitioner's Appendix E, pp. 118a–119a) Mr. Madruga also selected Marco brand hydraulic machinery which Martinac purchased from Marco. (Petitioner's Appendix B, p. 12a; Petitioner's Appendix E, pp. 118a–120a).

The M/V SARATOGA was delivered in 1972 and captained by Madruga's protégé, Manuel Vargas. In 1974 Madruga sold the M/V SARATOGA to Manual Vargas' corporation, Saratoga Fishing Company. Madruga and Vargas also negotiated the risk of loss and Saratoga purchased the vessel "AS IS" without any warranty. (Petitioner's Appendix B, p. 12a; Petitioner's Appendix E, pp. 124a–122a).

The hydraulic system as designed and installed met well–established marine practice and the design requirements of commercial and naval vessels, including all regulatory requirements and standards accepted and followed in the shipbuilding industry, including those enacted long after her completion. (Petitioner's Appendix B, p. 16a; Petitioner's Appendix E, pp. 124a–127a. 132a).

During the M/V SARATOGA's 14 years of service, her hydraulic system suffered extensive deterioration through lack of maintenance and radical modification for the purpose of significantly increasing power output. These changes materially increased the rate of failure of hydraulic components and the probability of a catastrophic system failure. (Petitioner's Appendix B, p. 13a; Petitioner's Appendix E, pp. 132a–135a).

On January 16, 1986, a few hours prior to the fire, the M/V SARATOGA's chief engineer noticed that one of the 3 major hydraulic supply hoses for the primary hydraulic system was leaking around its fitting. He recognized the need for immediate replacement of the hose and the significant risk of complete failure during operations, (Petitioner's Appendix B, p. 14a), and that if the hose failed, it presented an extreme fire danger. (Petitioner's Appendix E, pp. 140a–141a). The M/V SARATOGA had an available back–up hydraulic drive unit that would have taken about ten minutes to engage and would have by–passed the leaking hose. Nevertheless, the Captain, being fully informed about the leaking hose, elected to commence fishing operations using the primary hydraulic drive without replacing the leaking hose. (Petitioner's Appendix B, p. 14a). This hose failed resulting in the fire and foundering of the vessel.

Despite the commercial setting of this case, the substantial changes to the product by professional users, the open and obvious nature of the claimed defect, and the professional users' complete awareness of the danger presented by their conduct, the trial court found the proximity of hydraulic supply hoses to the diesel engine to be a design flaw, and awarded damages to Saratoga composed of the value of the catch of fish, fuel, net, skiff, fishing equipment, and spare parts aboard the vessel at the time of her loss. This amount was reduced by 2/3 based upon the Saratoga's comparative fault. (Petitioner's Appendix B, p. 16a).

The Ninth Circuit by its amended decision reversed the damages for loss of the skiff, net, fishing equipment and fuel, but affirmed the award as to the value of the lost catch on board at the time of the loss.

DISCUSSION

The parties agree (1) that the present decision places the Ninth Circuit into conflict with the Fifth Circuit; and (2) that the applicable law is confused and uncertain; and (3) a definitive decision from this court would be of immense help to the maritime bar, as well as to maritime insurers, vessel operators, and marine risk managers.

Beyond that, the parties have radically divergent views of the current state of the law, and form which the law should take.

A. There Is An Inter–Circuit Conflict Which Requires Resolution By This Court.

That portion of the Ninth Circuit's opinion affirming the District Court's judgment is predicated upon the cargo aboard the vessel being "other property" and therefore not subject to the limitation on tort recovery imposed by this Court's decision in *East River SS Corp. v. TransAmerica Delavel*, 476 U.S. 858 (1986). Similarly the partial reversal is predicated upon the net, speed boats, skiff and other fishing equipment acquired by Saratoga when it purchased the vessel *not* being "other property."

If Saratoga's expansive view of "other property," derived from an examination of "what–the–defendant–sold" is adopted, then as noted by Circuit Judge Noonan in his dissent, the present case, insofar as it restricts damages recoverable by the plaintiff, is in conflict with the Fifth Circuits decision in *Nicor Supply*

Ships Associates v. General Motors, 876 F.2d 501, 505-506 (5th Cir. 1989). However, if a more restrictive definition of "other property" is used, then the present decision holding that the cargo is "other property" and therefore a recoverable element of damages, is in conflict with the Fifth Circuit's decisions in *Louis Dreyfus Corp. v. 27,956 Long Tons of Corn*, 830 F.2d 1321 (5th Cir. 1987), and *Employers' Ins. of Wassau v. Suwannee River Spa Lines, Inc.*, 866 F.2d 752 (5th Cir. 1989); both of which state, without discussion or explanation, that cargo is not "other property."

Although the present decision pays lip service to the Restatement, it explicitly abandons the "consumer expectation" test set forth in Comment *i* to Restatement (Second), Torts, § 402A, as the touchstone or test for strict product liability and substitutes an alternative, retrospective "risk–utility" analysis at the option of the plaintiff, because as the court admits, application of the § 402A consumer expectation test would preclude recovery. (Petitioners Appendix B at p. 25a). In doing so, it places the Ninth Circuit in conflict with the Fifth,[1] Sixth and Seventh Circuits which accept § 402A as the definitive statement of the maritime law of strict product liability. *Vickers v. Chiles Drilling Co.*, 822 F.2d 535, 538 (5th Cir. 1987); *Miller v. American President Lines, Ltd.*, 989 F.2d 1450, 1462 (6th Cir. 1993); *McKee v. Brunswick Corp.*, 354 F.2d 577, 584 (7th Cir. 1965).

---

1. The Ninth Circuit relies upon *Palvides v. Galvaston Yacht Basin*, 727 F.2d 330, 337 (5th Cir. 1984), for the proposition the risk-utility test applies in admiralty. However, 3 years later in *Vickers, supra*, the Fifth Circuit reaffirmed the proposition that the official comments of § 402A, specifically including comment *i* — the statement of the consumer expectation test — sets forth the test for application of the doctrine of strict products liability. 822 F.2d at 538.

B. There Is Significant Confusion In The Scope Of Damages Available Under The Maritime Law Of Strict Products Liability To The Owner Of A Product Which Destroys Itself.

This case arose out of the murky mush between contract and tort. The maritime law has borrowed the concept of strict product liability in tort from the American Law Institute's Restatement (Second) of the general, land–based, law of torts. It works well in the consumer and personal injury context for which it was designed and which law it "restates."

The maritime law has also borrowed the warranty law codified by the Uniform Commercial Code, to govern the relationship between commercial entities. It, too, works well in the context of commercial relationships. When these conceptually distinct bodies of law occasionally overlap, as in the present case, choices must be made based on overriding public policy concerns, both to promote uniformity and to preserve the role of contract in commercial maritime transactions.

The Petitioner seeks to have this Court define "other property" associated with a commercial transaction in a broad way to permit tort recovery in purely commercial cases. This would mean that every future case would turn on semantics. That is, every frustrated commercial plaintiff who found the contract/warranty remedy inapplicable, would turn to tort, narrowly define the product, claim injury to "other property" and thereby obtain recovery for all identifiable ancillary items appended to or used with the commercial property for which recovery was barred or otherwise unavailable under contract/warranty law.

This case highlights the widely diverse legal interpretations that can be gleaned from the existing body of maritime law

applying strict products liability. The Ninth Circuit's opinion herein only compounds that confusion. This confusion may well stem from the "square peg/round hole" problem posed by trying to apply consumer-based legal principles to purely commercial transactions. The fit is poor, but to the extent the square peg is small enough to fit in the round hole, there are enough discrete spaces left to preclude uniformity.

East River assumed principles of strict product liability can be applied in commercial maritime transactions, but noted the need to significantly limit the application of these principles in a commercial context lest ". . . contract drown in a sea of tort." 476 U.S. at 866. While lower courts and commentators have read a great deal into the *East River* decision, the fact remains that the Court did not define either "*the product itself*" or "*other property*" or the associated concept of "*economic loss*." So, although the Court's message to preserve preeminence of contract law in commercial maritime law was stated clearly, the reluctant implementation of that message has left the law ambiguous and inconsistent. Ten years later, *East River* is widely cited and discussed, with the divergent interpretations of numerous courts, like those of the litigants herein, juxtaposed.

Strict products liability, contract, warranty, the Uniform Commercial Code, and the goal of uniformity in the law are not concepts or legal embodiments unique to maritime law. *East River* is more widely cited by state courts interpreting their own law of strict products liability than by the lower federal courts applying maritime law. The goal of uniformity in maritime law should embrace, wherever possible, uniform land-based principles. Indeed, § 402A is a land-based iteration grafted onto the maritime law, first by the Ninth Circuit in *Pan Alaska Fisheries, Inc. v. Marine Const. & Design Co.*, 565 F.2d 1129 (9th Cir. 1977) and then by this Court in *East River, supra*.

In the ten years since *East River*, strict product liability cases have provided a battleground between those who would expand the concept to make all manufacturers insurers of any losses involving goods they place in the stream of commerce, and those who seek to entirely eliminate the liability of manufacturers for defects in their products. Caught in the middle of this struggle are a multitude of maritime enterprises. The predictable contract-based method of doing business endorsed by *East River* is being eroded, if not gutted, by the Ninth Circuit's expansion of strict product liability law.

It is now of critical importance that this Court decide: (1) what iteration of strict product liability is to be followed by federal maritime law, and (2) which commercial losses, if any, can be recovered under strict products liability under federal maritime law, and which are recoverable only in contract or pursuant to a warranty. The latter question involves preserving the role of contract in commercial maritime intercourse.

What the Ninth Circuit has done is to utilize California's rational extrapolation of strict product liability extending to personally injured consumers a choice of "tests" for a defective product, *Barker v. Lull Engineering Co.*, 20 Cal. 3d 423, 432 (1978), to justify its departure from the consumer expectation test of § 402A. However, the Ninth Circuit failed to recognize that a California court would have denied liability in this case because a California strict products liability remedy is unavailable when commercial parties of relative equal bargaining strength bargain the specifications of a commercial product. *Kaiser Steel Corp. v. Westinghouse Electric Corp.*, 55 Cal. App. 2d 737, 748 (1976). This is a solution suggested by *East River*, 476 U.S. at 871 fn. 6, but not as yet explicitly implemented in the maritime law.

CONCLUSION

The Respondents agree with the Petitioner that the case presents important questions of maritime law which should be settled by this Court for the benefit of the commercial maritime community. However, the Respondents believe the pertinent questions upon which certiorari should be granted are not as set forth by the Petitioner, but rather are:

1. Can a plaintiff state a claim under the admiralty and maritime law of the United States for "strict product liability" when a custom manufactured product fails and only consequential commercial losses are sustained?

2. Does § 402A of the Restatement (Second) Torts provide the definitive statement of the maritime law of "strict product liability" or are other legal regimes also a part of the maritime law?

3. Is lost fish harvest aboard a factory fishing vessel an "economic loss" or "other property" when the vessel destroys itself, *i.e.*, can a tort claim be stated against the manufacturer or is the vessel owner's only potential remedy in warranty?

Marine builders, contractors, subcontractors, and non–maritime companies making occasional sales of goods destined for maritime use, lack a clear definition of their duties and liabilities under existing strict product liability precedent. It is beyond question that strict product liability principles grew out of the need to protect consumers. But, there is no sound public policy basis supporting their application in maritime commerce where contract law provides a more predictable and satisfactory system for adjusting commercial losses.

Marco Seattle, Inc., and J. M. Martinac & Co. therefore pray this Court issue a Writ of Certiorari to review the decision of the United States Court of Appeals for the Ninth Circuit.

Respectfully submitted,

DANIEL B. MacLEOD
Attorney for Respondent
Marco Seattle, Inc.
1202 Kettner Blvd.
Suite 4400
San Diego, California 92101
(619) 234-7000

DUNCAN B. KOLER,
KOLER & PROWS, P.C.
Attorney for Respondent
J. M. Martinac & Co.
3033 Fifth Avenue
Suite 300
San Diego, California 92103
(619) 683-2944